II Very short answer questions

1. What is meant by revaluation of assets and liabilities?
2. How are accumulated profits and losses distributed among the partners at the time of admission of a new partner?
3. What is sacrificing ratio?
4. Give the journal entry for writing off existing goodwill at the time of admission of a new partner.
5. State whether the following will be debited or credited in the revaluation account.
   (a) Depreciation on assets
   (b) Unrecorded liability
   (c) Provision for outstanding expenses
   (d) Appreciation of assets

III Short answer questions

1. What are the adjustments required at the time of admission of a partner?
2. What are the journal entries to be passed on revaluation of assets and liabilities?
3. Write a short note on accounting treatment of goodwill.

IV Exercises

Distribution of accumulated profits, reserves and losses

1. Arul and Anitha are partners sharing profits and losses in the ratio of 4:3. On 31.3.2018, Ajay was admitted as a partner. On the date of admission, the book of the firm showed a general reserve of ₹ 42,000. Pass the journal entry to distribute the general reserve.

   (Answer: Arul: ₹ 24,000(Cr.); Anitha: ₹ 18,000 (Cr.))

2. Anjali and Nithya are partners of a firm sharing profits and losses in the ratio of 5:3. They admit Pramila on 1.1.2018. On that date, their balance sheet showed accumulated loss of ₹40,000 on the asset side of the balance sheet. Give the journal entry to transfer the accumulated loss on admission.

   (Answer: Profit and loss: Anjali: ₹ 25,000 (Dr.); Nithya: ₹ 15,000 (Dr.))

3. Oviya and Kavya are partners in a firm sharing profits and losses in the ratio of 5:3. They admit Agalya into the partnership. Their balance sheet as on 31st March, 2019 is as follows:

12th-Accountancy-Unit-05.indd 173 12/9/2021 10:50:51 PM